



“Indian market returns have been very low in the past 12-13 years. Only the last two years have been good. Hence, there is plenty of headroom available, given that the overall return potential is 15 per cent per annum”

SHANKAR SHARMA

FOUNDER,
FIRST GLOBAL



“India is in a structural long-term bull run. However, the current down-cycle can easily last a few quarters. We have been bearish for a while. We expect a little more downside from here over the next three months”

NIKHIL KAMATH

CO-FOUNDER,
ZERODHA



“We do continue to remain cautious on markets in the near term, given that most risks are skewed to the downside: global macro concerns [and] likely earnings cuts... amongst other factors”

AMISH SHAH

HEAD-INDIA RESEARCH,
BofA SECURITIES



“The sentiment around Indian equity markets has deteriorated significantly. The external environment is tightening with rising inflation and higher oil prices. It is quite possible for the Indian market to fall further”

SANJAY MOOKIM

STRATEGIST & INDIA
HEAD OF RESEARCH,
JPMORGAN

54 | foreign investors sell Indian (and Asian emerging market) stocks in record amounts.”

In the US, inflation touched 9.1 per cent in June, the highest since November 1981. The UK is also witnessing its highest ever inflation in 40 years at 9.4 per cent in June. Japan’s core consumer inflation has stayed above its central bank’s 2 per cent target for the third consecutive month in June. In Germany, inflation hit 8.2 per cent in the same month, even as its central bank expects a further spike in September. Incidentally, nearly half of the 19 countries in the Eurozone are now facing double-digit annual inflation with the overall rate at the highest point since 1999, when the group was created.

Meanwhile, inflation in India eased slightly to 7.01 per cent in June from 7.04 per cent in the previous month, but it has stayed above the Reserve Bank of India’s upper limit of six per cent for six consecutive months now.

Simply put, central banks globally hike rates to rein in inflation, and that in turn affects the flows into the stock markets, especially from FPIs, in emerging markets, including India. Hence, it does not come as a surprise that FPIs have pulled out a record \$28.6 billion in the current calendar year (till July 27). More importantly, overseas investors have been net sellers for nine consecutive months starting October 2021, and have sold shares worth a cumulative \$33.6 billion till June.

Experts appear divided on the outlook for foreign flows, but all agree that it depends on how central banks

act in the coming months. Nikhil Kamath, Co-founder of stockbroking firm Zerodha, believes that FPIs have been reallocating capital amidst a rise in global interest rates, and this will continue till further rate increases happen in the global markets.

Sanjay Mookim, Strategist and India Head of Research at JPMorgan, says an immediate reversal of the trend in FPI flows looks difficult. “The US Fed is raising rates while the Indian economy is slowing. Unless oil prices ease meaningfully, it will be difficult for flows to return,” he says. Interestingly, the current month has seen a slight slowing of sorts as FPIs have been net sellers at a modest \$179 million till July 27. But according to market participants, it is too early to call it a trend.

“We have already seen a reduction in the pace of selling in the last few days. In recent months, FPIs were net sellers to the tune of around ₹2,500 crore a day, which has come down to around ₹1,000 crore a day in the last 10 days... We expect FPIs to be net buyers in the days to come when the global uncertainties settle down,” says domestic broking firm IIFL.

Siddhartha Khemka, VP and Head of Retail Research at Motilal Oswal Financial Services, expects FPI selling to reverse around September this year “once the full impact of inflation plays out on corporate earnings”.

“By that time, the performance of the monsoon and its impact would be known to the market. H2FY23 also marks the start of the festive season, which could bring